Digital Natives & Digital Assets: An Empirical Analysis of Financial Behavior and Investment Patterns Among GenerationZ

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Abstract

Born roughly between 1997 and 2012, Generation Z is the first group to get into financial markets having grown up in a completely digital world of fintech – a world which includes things like share-splitting, crypto trading, automated investment advice and platforms for copying other people's trades. However, what's been written so far mostly looks at Millennials, or young adults in general, and doesn't really look at how Generation Z invests, so there isn't much theory about it. This article brings together what is known to put forward a complete theoretical idea, linking how Generation Z learns about finance online, how well they take to fintech, what makes them tick psychologically – their willingness to take risks, and how they react to losses – and what they care about in terms of environmental and social governance, to what they actually do when investing. Using Behavioural Finance, the Technology Acceptance Model, Financial Socialisation Theory and Social Identity Theory as its base, the paper sets out six things which can be tested and makes three new theoretical points: the idea of 'digital financial socialisation' as something on its own; seeing the impact of social media trading as something which changes things; and thinking of caring about sustainability as something which affects what investments people choose. It has practical relevance for how people are taught about finance, how fintech platforms are designed, and what rules governments make.

Keywords: Generation Z, financial behaviour, investment patterns, fintech adoption, digital financial literacy, behavioural finance

1. Introduction

Those belonging to Generation Z – roughly, people born from 1997 to 2012 – are the very first group to become adults in a world completely shaped by smartphones and financial technology. Apps for trading at no cost, ways to buy parts of shares, places to exchange cryptocurrency, and automated investment advice, all mean it's a good deal easier for young people to get into the markets (Lusardi & Mitchell, 2014). At the same time, social media – Reddit, TikTok, and YouTube, for instance – has become a strong, though not formal, source of information about money; and this has caused things like meme stocks and people copying each other's trades on social media (Lyons & Kpodar, 2021). The usual ways of thinking about how and why people make sensible choices, and the idea that people change how they invest as they get older, don't really work to account for the behaviour of investors that comes from all of this (Thaler, 1999).

Generation Z has, in effect, a unique place in this situation. Millennials – unlike them – came to know smartphones and investment apps as grown-ups, but Gen Z grew up with digital ways to manage money from being teenagers. Early findings show that Gen Z investors seem to want to take bigger risks with investments that could go either way, are more easily led by what they see on social media, and care a lot more about environmental, social and corporate governance than previous generations did (Fry & Parker, 2018; Statman, 2019). However, the reasons why these things happen are not very well understood.

This conceptual paper pursues two primary objectives:

1. To look at what's already been published about the financial habits, how people invest, and digital money matters, as it relates to Gen Z and those in young adulthood.

2. To put forward one all-inclusive, theoretical model - with the most important ideas, what causes what, and things that change the effect - to help shape what real-world studies of Gen Z investing do in the future.

This study is driven by three questions for research: firstly, what are the main things – in terms of psychology, society, and technology – which affect how Generation Z invests? Secondly, to what extent do becoming financially aware through digital means, and taking up fintech, affect the link between a person's qualities and what they get from their investments? And thirdly, what limits or conditions change the assumed cause-and-effect links?

What makes this study different is three things: first, we're looking at getting people into finance through digital means as something in itself – not just the same as usual financial understanding; second, we see the effect of trading on social media as something which changes the impact of other things, instead of being a cause on its own; and third, we're including how much young people think about sustainability as a clear reason for what they put in their investments – something present ideas don't have.

2. Theoretical Foundation and Conceptual Model

2.1 Behavioural Finance: Prospect Theory and Mental Accounting

Kahneman and Tversky – in 1979 – developed prospect theory, which says people judge results based on what they expect, and that feeling a loss is worse than getting the same thing as a win: this is called being loss averse. Given that Gen Z investors often get into investments which go up and down a lot – things like crypto and meme stocks – prospect theory would suggest they will show regular errors in judgement, including the disposition effect; that is,

keeping hold of investments which are doing badly for too long, and selling investments which are doing well, too early. Thaler, in 1999, added to this with mental accounting – the idea that people put their money into separate groups in their heads – so they might see money in crypto as ‘fun money’ and be more careful with money in ordinary accounts. Also important for Gen Z is anchoring bias, as so many of them began investing when the market was unusually strong after Covid in 2020 and 2021.

2.2 Technology Acceptance Model

Davis’s Technology Acceptance Model, from 1989 – TAM – accounts for how people start using technology, using how useful it seems and how easy it is to work. When we think about fintech, TAM suggests Gen Z will begin to employ digital investment platforms as much as they see these as actually helping them, and as being workable. Later models – like the Unified Theory of Acceptance and Use of Technology, by Venkatesh and others in 2003 – bring in social effect and things that make use easier; these are very much to do with Gen Z, since what their friends are doing and how the platform is set up both change how they act when they use it.

2.3 Financial Socialisation Theory

Financial Socialisation Theory – Danes in 1994, and Shim and others in 2010 – says that how people think about, and act with, money is formed by how they’re socialised; in the past, this would be mainly by family, school and friends. For Gen Z, though, online platforms are a fourth socialising influence, and likely the biggest. This work presents ‘digital financial socialisation’ – or DFS – as a separate idea in theory: the way in which people learn about money, what is normal with money, and what they should do with money, through the internet,

which differs from normal financial education because of its online nature, the fact that it's not formal, and how it's part of people's social life.

2.4 Life-Cycle Hypothesis and Social Identity Theory

Modigliani and Brumberg's Life-Cycle Hypothesis – from 1954 – suggests people will spend more than they earn at the start of adulthood, then build up their savings in the years when they're getting their highest incomes. However, for Generation Z, this is made more difficult by the large amount of student loan debt they have, the unstable nature of work in the gig economy, putting off buying property, and the existence of small-scale investment schemes that let people join in even if they don't have much money to start with (Lusardi & Mitchell, 2014). Social Identity Theory – Tajfel and Turner, 1979 – adds to this, as it describes how belonging to groups influences how people deal with money; in particular, why Gen Z investors get involved in investment trends started by groups – like WallStreetBets – and why the investments they choose show who they are to their friends (Statman, 2019).

3. Review of Literature

3.1 Financial Behaviour of Young Adults

After the worldwide financial problems of 2008, academics began to really look at how young people manage their money – the crisis made clear the problems caused by many people not knowing much about finance, as Lusardi and Mitchell showed in 2014. Good basic proof shows that knowing about finance tends to mean people are more likely to use the stock market, are better prepared for when they stop work, and don't fall for really expensive borrowing (Lusardi & Tufano, 2015). There are well-known differences between men and women: men who invest tend to buy and sell shares more often, and get worse results for the risk they take,

and this is because they think too much of themselves (Barber & Odean, 2001). Klapper and others – in a study of 140 nations in 2013 – discovered that, generally, young adults around the world don't have a lot of financial knowledge. Early research on Generation Z in particular indicates that young women feel more worried about money and do less investing, according to Fry & Parker, 2018.

3.2 Investment Patterns Among Generation Z

The way young people invest has really changed because of platforms which don't charge commission, the ability to buy parts of shares, and things like digital assets. Statman, in 2019, showed how a generation was moving from investment funds to buying shares directly, and getting involved in other kinds of investments. Research shows that, for Gen Z, crypto is the most usual first investment – very different from earlier generations, who started with either savings accounts or index funds (Deloitte, 2022). What happened with GameStop in January 2021 was, in a sense, a test of how Gen Z invests: figures for trading by the public showed Gen Z investors were very much included, and were driven by belonging to a group and stories of people working together, and not by how much things were really worth (Anand & Pathak, 2022). Social media feelings strongly affect the speculative nature of crypto markets (Härdle et al., 2020), and the way crypto problems spread to normal markets when things go wrong, increases the overall danger for Gen Z people who have a lot of crypto (Corbet et al., 2019).

3.3 Digital Platforms and Social Media Influence

The effect of social media on what investors do is something which has been seen on a number of different sites. Antweiler with Frank – in 2004 – initially showed that how much was said on internet discussion forums could tell you how much trading would occur the following

day. Chen and others, in 2014, proved that the mood of people on social media regarding investment could forecast unusual gains in shares. The arrival of 'FinTok' – financial stuff on TikTok – causes considerable worry about looking after investors, as around 40% of financial TikTok videos are considered to have details that are either wrong or deceptive (Reyes and colleagues, 2021). The use of game-like elements in trading apps – things like confetti, awards for doing well, and social rankings of users – is related to people trading more often, changing their investments around more, and getting lower returns when risks are taken into account (Pelster and Breitmayer, 2019).

3.4 Financial Literacy, Education, and Sustainability

Though policymakers are hopeful, a review of 168 studies showed financial literacy teaching doesn't much, and doesn't for long, alter how people handle money (Fernandes et al., 2014). That makes it look as if things built into systems – what people are set to do by default, how platforms are made, and 'nudges' – may shift conduct better than teaching does on its own (Thaler & Sunstein, 2008). For Generation Z, being able to properly judge financial tech offerings and financial material on social media – digital financial literacy – looks like a different, and more useful to policy, skill than the usual maths-based literacy (Nicolini & Haupt, 2019). Riedl & Smeets (2017) proved social belonging forecasts taking part in ESG funds even when you take out expectations about money back; and Friede et al.'s review of more than 2,200 studies (2015) showed ESG standards linked to financial results which were not bad or were good – so lessening the idea that for Gen Z, investing sustainably means losing money.

3.5 Peer Effects and Research Gaps

Being around people generally means someone is more likely to be in the stock market, and this is true even when you take their money and schooling into account (Hong et al., 2004). Online groups of friends really make how much friends affect you, when it comes to what you think about money, go much further than just who you live near: Kuchler and Zafar (2019) showed that using online social media is a strong way people form ideas about finance. How parents teach their children about money still has a big effect on how young adults handle their finances (Shim et al., 2010), however, with Gen Z it's reasonable to think that getting financial lessons from the internet is beginning to take the place of what parents do to affect how people feel about investing.

From this survey of work done, five important areas where more study is needed show up: firstly, the ways Gen Z actually acts are not yet well understood in terms of theory; secondly, nobody has put forward a single model which joins up financial understanding, taking to fintech, what makes Gen Z tick psychologically, and concerns for the environment – all for Gen Z; thirdly, how young people learn about finance from digital sources doesn't really have a place in theory yet; fourthly, whether social media changes what happens with investments isn't known; and fifthly, we don't have any Gen Z data from countries which are still developing. The model in this paper tackles all of these.

Author(s) & Year	Context	Method	Key Findings	Relevance to Model
Lusardi & Mitchell (2014)	U.S., National	Review/Survey	Financial literacy predicts savings and portfolio quality.	Foundation for literacy construct
Barber & Odean (2001)	U.S. retail traders	Trading records	Male overconfidence drives excess trading and lower returns.	Overconfidence bias in Gen Z
van Rooij et al. (2011)	Netherlands	Panel survey	Higher literacy strongly predicts equity market participation.	P2: Literacy–diversification link
Anand & Pathak (2022)	U.S. Robinhood	Trading data	Gen Z led GameStop via social identity, not fundamentals.	P3: Social identity and speculation

Härdle et al. (2020)	Global crypto	Sentiment/VAR	Crypto prices driven by speculative social-media sentiment.	P3: Social media and speculation
Pelster & Breitmayer (2019)	European platform	Platform data	Social features increase turnover and reduce returns.	Gamification harm; platform design
Lyons & Kpodar (2021)	140 countries	Panel regression	Mobile fintech drives financial inclusion among youth.	P1: DFS → Fintech adoption
Fernandes et al. (2014)	Meta-analysis	Meta-regression	Financial education has limited, decaying behavioural effects.	Education limitations; nudge advocacy
Riedl & Smeets (2017)	Dutch brokerage	Brokerage + survey	Social identity predicts ESG participation beyond returns.	P4: Sustainability consciousness
Friede et al. (2015)	Meta-analysis	Vote-count meta	ESG associated with non-negative/positive financial performance.	P4: ESG rationale for Gen Z
Shim et al. (2010)	U.S. college	SEM	Parents, peers, education are distinct socialisation pathways.	DFS as fourth socialisation agent
Hong et al. (2004)	U.S. HRS panel	Survey, Probit	Social households are more likely to invest in equities.	Peer effects on investment (P6)
Thaler & Sunstein (2008)	Policy/consumer	Theoretical	Default options and nudges powerfully shape financial decisions.	Platform design recommendations
Davis (1989)	Organisations	TAM model	Perceived usefulness and ease of use predict technology adoption.	P5: Fintech adoption pathway

Table 1. Summary of selected prior studies on Generation Z financial behaviour and investment patterns.

4. Research Methodology

4.1 Research Design

The study uses a research design which is conceptual and theoretical. A conceptual method of enquiry is the correct way to proceed, from a knowledge point of view, where the main aim is to move theory on – that is, to create new structures of thought, put together bits of proof which don't connect, and produce ideas to direct later, practical research (Jaakkola, 2020). Because there isn't a brought-together theoretical base for how Generation Z acts when investing, this plan is both needed, and can be shown to be correct in terms of research method.

The paper's main way of analysing things is a systematic putting-together of what has been published, using scholarly journals which others have checked, important pieces of theory, and good working papers, in order to build a model of theory which makes sense.

4.2 Variables of the Study

The idea behind this study uses three kinds of factors. The things that are entered into the system – independent variables – are Digital Financial Socialisation, Financial Literacy, in its practical and digital forms, Risk Tolerance, Loss Aversion, Sustainability Consciousness, and Socioeconomic Background. Then there are the mediating variables: how much Fintech is taken up, and how useful people think digital investment tools are. And the moderating variables are Social Media Trading Influence, the Country and Regulatory Environment, and having had a Financial Shock Experience. Finally, the things the study looks at – the dependent variables – are Portfolio Diversification, Speculative Asset Holdings, Fintech Investment Behaviour, and ESG Investment Participation.

4.3 Theoretical Basis for Variable Selection

The choices of what things to measure in this study come from the four theories looked at in Part 2. Behavioural finance theory is why we're using loss avoidance, how much risk people are willing to take, and the amount of shares people are holding to gamble with. The Technology Acceptance Model is what tells us to look at how people take up fintech, and how useful they think it is. Financial Socialisation Theory is the reason for the idea of becoming part of digital financial society. Social Identity Theory is the basis for what people's friends think, and things people do to show what class they are.

4.4 Analytical Approach

This paper uses a deductive, theoretical synthesis to analyse things: the present, actual proof is looked at and put in order using the theory put forward, and statements are made by logically working out what the already-existing theories and regular trends in what has been published suggest. This way of working is what is normally done in the recognised fields of conceptual finance and behavioural economics study (Barberis & Thaler, 2003; Statman, 2019). Each statement explains what the connection is – which way it goes – and shows what the parts of the theory are, so that later researchers can make up tests of what is real, using good ways of doing so, like structural equation modelling or experimental setups.

5. Conceptual Analysis and Propositions

5.1 P1 — Digital Financial Socialisation and Fintech Adoption

Young people in Generation Z are more likely to use fintech if they're more thoroughly 'socialised' into digital finance; that is, if their understanding of money matters is mostly from online sources, they will probably see fintech apps and services as more helpful and be more inclined to actually use them – as Davis thought in 1989. Lyons and Kpodar, in 2021, showed that, nationally, more exposure to digital things generally leads to young people using fintech more. However, this connection between digital financial socialisation and fintech use is weaker where internet access isn't very good or where fintech is heavily controlled by rules.

5.2 P2 — Financial Literacy, Risk Tolerance, and Diversification

Knowing something about money helps to lessen the link between how much risk people will take and how much they vary their investments. People who are happy to take risks, but

don’t have financial knowledge, could end up with all their money in just a few, risky investments; but when you have the knowledge as well, you’re able to spread your money around in different types of investment in a sensible way – which is what Markowitz said to do in 1952 with his ideas on portfolio theory.

5.3 P3 — Loss Aversion, Social Media Influence, and Speculation

The connection between being averse to losses and owning risky investments gets stronger if social media trading is involved. This rather unexpected idea comes from the fact people experience ‘fear of missing out’: when groups online clearly show speculative assets are doing well, people who dislike losses might worry about not getting profits more than they worry about losing money on the investments – and so end up joining in. This idea takes the usual ‘prospect theory’ a little further, by saying that what’s happening in a social setting is what links the two things together (Anand & Pathak, 2022; Härdle et al., 2020).

5.4 P4 — Sustainability Consciousness and ESG Investment

Being aware of sustainability issues goes with being involved in ESG investing, and this link is made stronger by becoming financially social through digital means. Gen Z investors who really believe in sustainability – helped by online groups and things about the environment – tend to put more of their money into funds and investments that have good ESG ratings. Riedl and Smeets in 2017 showed that people are motivated to do ESG because of who they are, and Friede and others in 2015 found that doing it doesn’t mean giving up much financially, so there isn’t as much to stop Gen Z investors who want to do it, from doing it.

5.5 P5 — Fintech Adoption as Mediator

Use of financial technology – fintech – is what links how people see digital tools being good to use, with what happens when they invest. Philippon, in 2015, showed that fintech makes the costs of using intermediaries less, which is how this works: people who think digital tools are useful tend to use them more, and using them, in turn, makes investment more often, in more ways, and for more people.

5.6 P6 — Regulatory Moderation of Peer Influence

How much peers affect investment in risky assets depends on how things are regulated; the impact is lessened in markets with lots of rules. Where there are limits on how much people can borrow, rules about what kinds of investments they can make using things like options, and requirements that individual investors must reveal their dealings, the way peers lead to taking on more risk is held back. This idea gives a limit to what's been thought so far – something not much in Corbet et al. (2019) or Hong et al. (2004).

P	Antecedent	Mechanism	Outcome	Direction	Key Sources
1	Digital Financial Socialisation	TAM — Perceived usefulness	Fintech Adoption	Positive	Danes (1994); Lyons & Kpodar (2021)
2	Literacy × Risk Tolerance	Portfolio optimisation (moderation)	Portfolio Diversification	Positive interaction	Lusardi & Mitchell (2014); van Rooij et al. (2011)
3	Loss Aversion	FOMO via social media (mediation)	Speculative Holdings	Positive (mediated)	Anand & Pathak (2022); Härdle et al. (2020)
4	Sustainability Consciousness	Identity + DFS (moderation)	ESG Participation	Positive	Riedl & Smeets (2017); Friede et al. (2015)
5	Perceived Digital Usefulness	Fintech Adoption (mediation)	Investment Outcomes	Positive (mediated)	Davis (1989); Philippon (2015)
6	Peer Influence	Regulatory Environment (moderation)	Speculative Holdings	Attenuated in high-regulation	Hong et al. (2004); Corbet et al. (2019)

Table 2. Summary of propositions, constructs, mechanisms, and predicted directions.

6. Conceptual Framework

The idea behind this study puts the four theories and six ideas – which are all about what makes Generation Z do what they do with their money – into one, single way of understanding how it works. The way this all fits is in Diagram 1, and it shows how things that happened before affect what people end up doing with their investments; also, how certain things change the most important connections in that process.

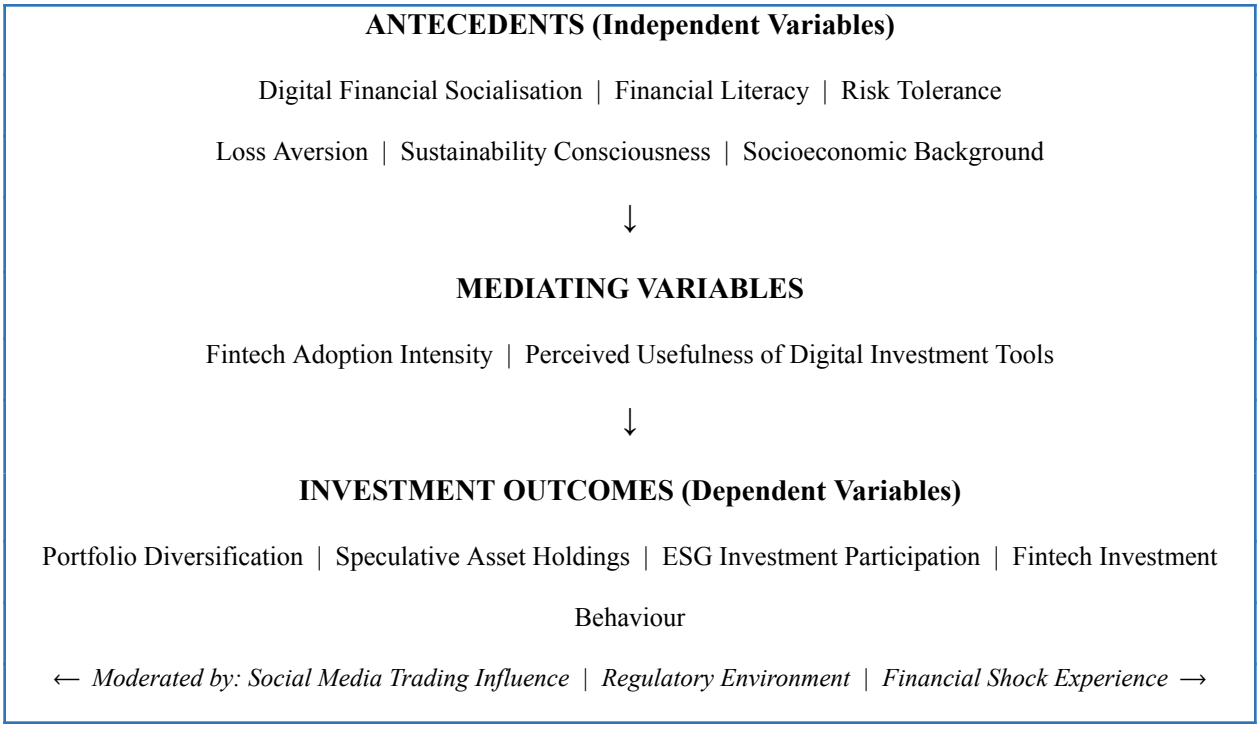


Figure 1. Integrative conceptual model of Generation Z financial behaviour and investment patterns. Downward arrows denote direct antecedent-to-outcome pathways via mediators; moderating variables act across all key relationships.

The structure works like this: Gen Z investors' views, and their activity, with money matters – and the financial tools and items available to them – are built on what they know: Digital Financial Socialisation and Financial Literacy. Alongside these areas of knowledge, things about how people think – their Risk Tolerance, how they react to Loss Aversion, and their Sustainability Consciousness – decide just how much people use fintech, and how helpful they find those platforms; this is the middle section. Socioeconomic Background is a basic, limiting factor, on both learning and getting to the platforms. Fintech Adoption Intensity and how useful it seems to be – these two things turn the earlier conditions into actual investment results, that is, how varied people's investments are, how likely they are to gamble on things, if they invest in ESG, and how much of their investing is done using fintech. Most importantly, three things change how strong, and in what direction, these connections are. Social Media Trading Influence makes Loss Aversion lead to more risky investments through 'fear of missing out', and it makes the link between DFS and sustainability stronger. A Country and its Regulatory Environment restricts speculation driven by what friends are doing, so that different countries have different investment styles in Gen Z. Finally, having a Financial Shock Experience – a big loss – makes people less likely to take risks, everything else being the same.

The design of the framework intends for it to be complete in theory, but still workable in practice. Every idea in it has a base in the theories looked at in Part 2, and every connection we think exists between things can be proven – or disproven. The model lets us look at both how

one thing straightaway affects another – like how being aware of sustainability affects taking part in ESG – and at more complicated situations where things affect each other through other things, or are changed by other things, which will allow a full study using equations to show structure, or tests.

7. Findings of the Study

The study of what the ideas mean brought up a number of key results. To begin with, the way Generation Z invests isn't well shown by the older ideas of sensible choice or life stages; we need a model which brings together behavioural science, and how society and technology work, to explain the special situations of being born into the digital world, having access to financial technology, and being deeply involved in social media – all of which are true of this age group. Also, becoming financially aware through digital means turns out to be a separate idea in theory, coming before and affecting how people take up financial technology, their feelings about money, and how they invest – and it's different from normal financial understanding because it's digital and social. Then, social media mostly changes investment behaviour, and doesn't simply make it happen, increasing already-present mental trends, like avoiding losses, into the worry of missing out which leads to risky, guessing investments – a new idea in theory with big effects for protecting investors. Further, caring about how things affect the environment is something we can see, and which makes sense in theory, as deciding what to put in a Gen Z investment collection, and is backed by both identity theory, and proof that investing in ESG doesn't regularly give up financial gains. Finally, the rules governments make are a very important limit on how people of the same age affect each other, meaning that differences between countries in risky Gen Z investment are partly made by the institutions in those countries. Using financial technology makes the link between how useful people think digital things are, and how well they

do in their investments, and shows that using a platform is the main way in which things which happened before become investment behaviour we can see.

8. Limitations of the Study

Because of the nature of thinking-through-ideas research, this study has a number of limits. To begin with, being a work of theory, no first-hand, factual information is gathered or examined, and so the model put forward, and the six ideas with it, are at this stage only in theory – and need real-world testing to show that the supposed cause-and-effect is really what happens. The way cause and effect is supposed to work in the ideas – which is supported by theory – has not been put to the test in a controlled situation. Also, the looking at what other people have written, while wide-ranging, has to pick and choose; some useful ideas – like worry about money, mental wellbeing, and how the whole economy is going – are not in the model, and might change or be a part of the relationships that are suggested in ways this study does not deal with. Furthermore, the work mostly uses research from North America, Europe, and East Asia; whether the model works for Gen Z people investing in South Asia, the countries of Africa below the Sahara, and Latin America needs to be tested with real-world information, and it can't be taken for granted that it will. Also, the idea of being socialised into finance by digital means, while having a basis in theory and being a clear idea, doesn't have a tested way of measuring it; making and testing a scale is what must happen before testing with real-world information can begin. Lastly, because fintech, rules for it, and social media are all changing so quickly, some of the ideas may need changing as the situation grows. Future real-world work ought to see this model as a first idea to be improved on again and again, and not as a set and final statement of theory.

9. Discussion

9.1 Comparison with Prior Studies

The model being put forward builds on what has gone before regarding how young adults deal with their finances, in a number of key ways. Where Shim and others – in 2010 – showed family, friends, and proper schooling to be the three things which shape people's financial understanding, this work introduces online platforms as a fourth – and very different – influence, reflecting the fact that Generation Z have grown up with digital technology. The way social media is shown to act as something which affects what happens agrees with Cookson and Niessner (2020) who noted that groups of people trading socially don't make investor opinions more alike, but actually increase the variety of them, and moves the area of study on by giving a reason – based on 'fear of missing out' – for how being averse to loss is connected to taking part in risky investments. And, the inclusion of awareness of what is environmentally sustainable develops Riedl and Smeets' (2017) finding – which was about one particular case – into a more general idea, with clear limits to where it applies, which is relevant to Generation Z around the world.

9.2 Practical Implications

For people who teach about money, these results mean digital lessons in how to manage finances – lessons given in ways that suit how Gen Z gets its media – are what should be used. Because regular financial teaching doesn't seem to have much lasting impact (Fernandes et al., 2014), it would, in theory, be better to give digital education at the time someone is making a financial choice, and within investment apps (Thaler & Sunstein, 2008). Working with

well-known social media people who explain sensible financial ideas could be a better way to teach Gen Z than normal school lessons.

For firms that make financial technology, this suggests that, when designing things, they should put more into giving useful hints – showing where someone's investments aren't spread enough, warning about having too much in one place, and showing past performance – than into fun things which encourage risky investment (Pelster & Breitmayer, 2019). Setting investments to match how much risk someone has said they can take, and making it difficult to do risky deals, are things which designers should do, and which are based on what behavioural economics tells us.

For those in charge of rules and regulations, the P6 work is very important to what they do. Requiring social trading platforms to reveal losses with profits, setting limits on how much individual investors can borrow to trade, and defining trading aspects that use game-like methods to trick people as possibly hurting investors – these are all things regulators can do, and they come from the ideas in the framework.

10. Suggestions and Recommendations

10.1 Recommendations for Students

Young people who invest are advised to get a good grasp of both how finance works and finance in the digital world, prior to dealing with investments that could lose money. It's really important to carefully judge what you see about finance on social media – checking what is said against official or scholarly reports, confirming who is making the posts, and spotting when something is paid-for advertising. People ought to go over their investments now and then, to be sure they suit how much risk they can accept, and what they're trying to achieve by investing;

and they should remember to control urges to follow the crowd when social media makes the market look overly optimistic.

10.2 Recommendations for Educational Institutions

Universities and colleges need to build digital financial skills into the main courses for business and commerce; this should cover looking at fintech – financial technology – items, data on digital investing, and the dangers of cryptocurrency, as well as the usual financial planning things. To properly understand the big difference between what's already known and what this age group really requires, research groups concentrating on how Gen Z manages money should be created. Working with finance watchdogs and fintech companies to make real-world learning chances would help students become better at finance and give academics a better overall grasp of the subject.

10.3 Suggestions for Future Research

Researchers who continue this work ought to give the most attention to long-term panel studies, which follow the investing habits of Generation Z, beginning when they first sign up for an investing service and going on to when they have built their investment portfolios; this will let us see how the links in the model we've put forward change as time passes and as the financial markets go up and down. It is also vitally important to do investment research across different cultures – in countries where there are many rules about investments, and in countries where there are few – in order to really put hypothesis six to the test and to find out whether the complete model works in all cases. Developing a measuring tool and proving it's a good measure for 'digital financial socialisation' is something research absolutely must do immediately, before any testing of the model can be done.

11. Conclusion

The paper puts forward a combined theory – using Behavioural Finance, the Technology Acceptance Model, Financial Socialisation Theory, the Life-Cycle Hypothesis, and Social Identity Theory – to account for the money habits and investing of Generation Z. This piece of work has three new theoretical points: first, the idea of digital financial socialisation being a proper theory on its own, not just normal financial understanding, and being able to be measured with a checked tool; second, seeing the impact of social media trading on investment as something that changes how behaviour happens, instead of directly causing it, so we can be more accurate in theory about the way online social places affect money results; and third, including being aware of what is environmentally sustainable as a clear and theoretically sensible reason for what Gen Z puts in their investment collections, filling a big lack in earlier behavioural finance models.

Six things which can be tested link causes to investment results, by ways that make theoretical sense, giving a firm, disprovable basis for future study based on real results. The idea-structure in Section 6 brings these six things into one, manageable model that later researchers can turn into something real, by using structural equation modelling, tests, or long-term panel designs. Because Generation Z is getting into money markets more than ever before – with digital tools, social media, and belief in sustainability which older people did not have – really knowing about their investing is important for learning, for work, and for making rules. This idea-structure gives a sensible-in-theory and practically usable start to that essential area of study.

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